Answer Key - Economics - Undergraduate Level Assessment 11 (Answers are ordered exactly as in the question paper.)

Multiple Choice

1. **Answer:** D
   Options: A) The elasticity of the long-run aggregate supply curve; B) The spending (or expenditure) multiplier; C) The investment multiplier; D) The balanced budget multiplier; E) The aggregate demand multiplier
   Note: The balanced budget multiplier is equal to one because it indicates that an increase in government spending, financed by an equal increase in taxes, will result in an equivalent increase in aggregate demand, leaving total spending unchanged.

2. **Answer:** C
   Options: A) An increase in government spending.; B) A decrease in interest rates.; C) Contractionary demand management policies.; D) An increase in consumer confidence.; E) An increase in the money supply.
   Note: Contractionary demand management policies, such as increased taxes or reduced government spending, decrease overall demand in the economy, leading to a leftward shift of the aggregate demand curve.

3. **Answer:** E
   Options: A) The value of the dollar increased significantly.; B) The United States' GDP decreased by $603 billion.; C) The United States imported exactly $603 billion worth of goods.; D) The United States had a trade surplus.; E) Americans consumed more than they produced.
   Note: The correct answer is based on the fact that a trade deficit occurs when a country's imports exceed its exports, indicating that Americans were consuming more goods and services from abroad than they were producing domestically.

4. **Answer:** A
   Options: A) Average total cost = total fixed costs plus total variable costs.; B) Average total cost = total costs divided by the marginal cost of production.; C) Average total cost = total variable costs divided by the number of units produced.; D) Average total cost = total fixed costs divided by the number of units produced.; E) Average total cost = average variable cost plus marginal cost.
   Note: The statement is correct because average total cost is derived from the sum of total fixed costs and total variable costs, reflecting the total expenses incurred in production divided by the quantity of output produced.

5. **Answer:** A
   Options: A) surplus expansion surplus expansion; B) deficit recession deficit expansion; C) surplus expansion deficit recession; D) deficit expansion deficit recession; E) surplus expansion surplus recession
   Note: The correct answer is based on the fact that during economic expansions, increased income and employment lead to higher tax revenues for the federal government,

resulting in a budget surplus, while government spending remains constant, thus creating a surplus during such periods.

True / False

6. **Answer:** True
   Options: A) True; B) False
   Note: In a VAR model, bi-directional feedback implies that the variables influence each other simultaneously, which necessitates that the coefficients representing these relationships (b and d) must be significant to confirm the presence of such feedback.

7. **Answer:** True
   Options: A) True; B) False
   Note: A stronger stock market typically boosts consumer confidence and wealth, leading to increased household consumption and thereby raising aggregate demand in the economy.

8. **Answer:** True
   Options: A) True; B) False
   Note: The spending multiplier effect is diminished when the price level rises because higher prices reduce the real value of wealth and purchasing power, leading to a smaller increase in consumption and investment relative to the initial change in aggregate demand.

9. **Answer:** False
   Options: A) True; B) False
   Note: A decrease in the price of a particular product typically leads to an increase in the quantity demanded for that product, as consumers are generally more willing to purchase more at lower prices, according to the law of demand.

10. **Answer:** True
    Options: A) True; B) False
    Note: In a private closed economy, when consumption equals disposable income, all available income is being spent on consumption, resulting in zero savings.

Long Form Response

11. **Answer:** In a banking system without a required reserve ratio, the acquisition of an additional $1 indeposits has theoretically infinite implications for the money supply. This is because banksar$
    deposit can ultimately lead to a vastly larger increase in the total money supply, highlighting the significant role of banking in monetary expansion.
    Note: correct because, in a system without a required reserve ratio, banks can lend out the entire deposit amount, resulting in a multiplier effect that significantly increases the overall money supply without any limits on reserve requirements.

12. **Answer:** Trade between an industrial country with abundant capital and a rural country with abundant land leads to significant fluctuations in resource prices within both nations. As the industrial country seeks to import land-intensive goods, demand for the rural country's land resources increases, driving up their prices. Conversely, the rural country, in turn, may experience a rise in demand for capital-intensive goods, which can elevate the prices of capital in the industrial country. This reciprocal relationship creates an unpredictable market for both land and capital, as shifts in demand can lead to volatility in prices, affected by global trade dynamics. Ultimately, the interdependence of these nations highlights how trade can disrupt traditional pricing mechanisms, resulting in uncertainty in resource valuations.
Note: correct because it illustrates how trade creates a reciprocal relationship in resource demand and prices, where the industrial country's need for land-intensive goods raises land prices in the rural country, while simultaneously increasing demand for capital-intensive goods in the industrial country, thus affecting capital prices there.

End of Answer Key